Liquid Environmental Services Operating Benchmark

SUBVERTICAL LENS	
	Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite **8%** Route **9%**	The 8% onsite estimate reflects installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. The 9% route estimate reflects modestly greater upside from density, cross-sell and treatment throughput.	MEDIUM
EBITDA margin	Onsite **21%** Route **28%**	The 21% onsite estimate is mechanism-based because RTI has no standalone margin disclosure. The 28% route estimate is set below historical S&P commentary citing LES margins above 30%, allowing for dated evidence, mixed services and third-party disposal.	MEDIUM-LOW
Maintenance capex / revenue	Onsite **Not estimated** Route **5.0%**	Onsite sustaining capital should rise with provider ownership of tanks, pumps, filters and monitoring hardware, shorter replacement cycles and a dispersed installed base. It should fall with long-lived standardized systems, customer-funded installation and dense service routes; route processing remains more exposed to truck and treatment-plant renewal, supporting the retained 5% estimate.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Onsite **Not est. / 9 yrs** Route **Not est. / 7 yrs**	Onsite contracts should be longer when the provider funds embedded equipment and bundles monitoring, compliance and maintenance, and shorter when customers own equipment or can switch without removal cost. Route contracts should be longer with dedicated capacity and bundled treatment, but shorter where work is bid per pickup; effective tenure tends to exceed the legal term when reliability and compliance make switching disruptive.	MEDIUM
Utilization exposure	Onsite **Moderate** Route **Moderate-High**	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution.	MEDIUM
New-unit / customer payback	Onsite **2.5 yrs** Route **1.25 yrs**	The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market.	MEDIUM-LOW
B2B vs B2C	Onsite **Predominantly B2B** Route **Predominantly B2B**	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center.	HIGH

Directional framework shown where a point estimate is unsupported.

Liquid Environmental Services Operating Benchmark

SUBSECTOR CATEGORIES	Installed onsite oil systems	Commercial liquid-waste routes	Diversified wastewater services
	Restaurant Technologies	Liquid Environmental Solutions / Waste Resources Management	Wind River Environmental

Restaurant Technologies

INSTALLED ONSITE OIL SYSTEMS

Evidence. 45,000-plus kitchens, 41 depots and 1,200-plus employees; about 60% of 2022 revenue was QSR-related.

Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems.

Economics. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots.

Liquid Environmental Solutions

COMMERCIAL LIQUID-WASTE ROUTES

Evidence. Historical S&P credit commentary cited margins above 30%; treat this as dated, not a current disclosed margin. Current materials cite 1,020 employees, 670 vehicles, 95 facility/partner sites and 129,500 locations.

Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance.

Economics. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk.

Waste Resources Management

COMMERCIAL LIQUID-WASTE ROUTES

Evidence. 10,000-plus clients, four states and 300-plus employees; a 2026 deal adds 13 metros.

Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites.

Economics. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.

Wind River Environmental

DIVERSIFIED WASTEWATER SERVICES

Evidence. 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions and 16 plants processing 200 million-plus gallons. It is the only benchmarked operator with explicit residential and commercial service lines.

Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks.

Economics. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure.